Reinsurance Treaty - EX2025001 - 3

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_3

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PARTIES TO THE TREATY

THE REINSURED (Ceding Company):

Example Cedent Inc.

Registered Office: [Address]

Company Registration Number: [Number]

(hereinafter referred to as "the Company" or "the Reinsured")

THE REINSURER:

Example Reinsurer Corp.

Registered Office: [Address]

Company Registration Number: [Number]

(hereinafter referred to as "the Reinsurer")

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ARTICLE 1: PERIOD OF AGREEMENT

1.1 Effective Period

This Treaty shall become effective at 00:01 hours local time on **1st January 2025** and shall remain in force until 23:59 hours local time on **31st December 2025** (hereinafter referred to as "the Treaty Period").

1.2 Risks Attaching Basis

This Treaty shall apply to all business incepting or renewing during the Treaty Period, and the Reinsurer shall remain liable for losses occurring during the entire policy period of such business, even if the loss occurs after the expiry of this Treaty.

1.3 Termination

Either party may terminate this Treaty by giving not less than ninety (90) days written notice prior to the expiry date. In the absence of such notice, this Treaty shall not automatically renew.

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ARTICLE 2: BUSINESS COVERED

2.1 Classes of Business

This Treaty shall apply to the following classes of business written by the Company:

• Property Damage Insurance

• Business Interruption Insurance

• General Liability Insurance

• Professional Indemnity Insurance

• Marine Cargo Insurance

• Engineering Insurance (excluding Nuclear Risks)

2.2 Territorial Scope

This Treaty shall apply to risks located in or originating from:

• United Kingdom

• European Union Member States

• Switzerland

• Norway

2.3 Exclusions

The following classes and types of business are specifically excluded from this Treaty:

a) Nuclear energy risks and nuclear material damage

b) War, terrorism, and political risks (unless specifically covered by the original policy and accepted by the Reinsurer)

c) Asbestos-related liabilities

d) Pollution and environmental impairment liability (gradual)

e) Cyber risks and data breach liabilities

f) Aviation and space risks

g) Credit and surety insurance

h) Life, accident, and health insurance

i) Any business written on a claims-made basis with a retroactive date prior to the inception of this Treaty

j) Any facultative reinsurance accepted by the Company

k) Any business where sanctions or regulatory restrictions prohibit reinsurance coverage

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ARTICLE 3: QUOTA SHARE ARRANGEMENT

3.1 Ceding Percentage

The Company shall cede, and the Reinsurer shall accept, **60%** (sixty percent) of all business covered under this Treaty (hereinafter referred to as "the Quota Share Percentage").

3.2 Retention

The Company shall retain for its own account **40%** (forty percent) of all business covered under this Treaty.

3.3 Application

The Quota Share Percentage shall apply uniformly to:

• All gross written premiums

• All gross earned premiums

• All losses and loss adjustment expenses

• All return premiums

• All policy fees and charges (where applicable)

3.4 Proportional Sharing

All premiums, losses, and expenses shall be shared between the Company and the Reinsurer in the proportion of 40% to 60% respectively, subject to the terms and conditions of this Treaty.

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ARTICLE 4: REINSURANCE PREMIUM

4.1 Premium Basis

The reinsurance premium shall be calculated as **60%** of the gross written premium income of the Company for all business covered under this Treaty.

4.2 Premium Calculation

Reinsurance premium shall be calculated on:

• Original gross written premiums before deduction of any brokerage, commissions, or taxes

• Including policy fees where these form part of the insurance premium

• Adjusted for return premiums and cancellations on a pro-rata basis

4.3 Currency

All premiums shall be calculated and paid in **GBP** (British Pounds Sterling) or **EUR** (Euros) as specified in the quarterly accounts. Exchange rates shall be determined at the closing mid-market rate published by the Financial Times on the last business day of each accounting quarter.

4.4 Premium Payment Terms

Premium accounts shall be rendered quarterly within thirty (30) days following the end of each calendar quarter, with payment due within thirty (30) days of receipt of the account. Interest shall accrue on overdue balances at the rate of **5%** (five percent) per annum above the Bank of England base rate.

4.5 Minimum and Deposit Premium

The Company shall pay a minimum deposit premium of **GBP 2,500,000** (Two Million Five Hundred Thousand Pounds Sterling) payable in four equal quarterly installments of GBP 625,000 each, due on the first day of each calendar quarter.

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ARTICLE 5: REINSURANCE COMMISSION

5.1 Commission Rate

The Reinsurer shall allow the Company a provisional commission of **30%** (thirty percent) of the gross reinsurance premium ceded under this Treaty.

5.2 Commission Structure

The commission shall be structured as follows:

a) Base Commission: 25% (twenty-five percent)

b) Additional Expense Allowance: 5% (five percent)

Total Provisional Commission: 30% (thirty percent)

5.3 Commission Purpose

The commission is intended to reimburse the Company for:

• Acquisition costs

• Administrative expenses

• Premium collection costs

• Policy maintenance and servicing

• General overhead allocation

5.4 Commission Payment

Commission shall be deducted by the Company from the gross reinsurance premium due to the Reinsurer in each quarterly account.

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ARTICLE 6: PROFIT COMMISSION

6.1 Profit Commission Entitlement

In addition to the reinsurance commission specified in Article 5, the Company shall be entitled to a profit commission calculated in accordance with the following provisions.

6.2 Profit Commission Calculation

Profit commission shall be **20%** (twenty percent) of the underwriting profit, calculated as follows:

Underwriting Profit =

Reinsurance Premium (100%)

Less:

• Reinsurance Commission @ 30%

• Incurred Losses and Loss Adjustment Expenses

• Reinsurer's Portfolio Management Fee @ 2%

Less:

• Contingency Reserve @ 5% of Reinsurance Premium

If positive balance exists:

Profit Commission = 20% of Underwriting Profit

6.3 Loss Ratio Threshold

Profit commission shall only be payable if the ultimate loss ratio for the Treaty Year is less than **65%** (sixty-five percent).

Loss Ratio = (Incurred Losses + LAE) ÷ Reinsurance Premium × 100

6.4 Profit Commission Payment

Profit commission shall be calculated and paid annually within ninety (90) days following the end of the Treaty Period, based on the underwriting result at twelve (12) months after expiry. A final adjustment shall be made at twenty-four (24) months after expiry based on the developed position.

6.5 Contingency Reserve

A contingency reserve of **5%** (five percent) of reinsurance premium shall be established and carried forward for three (3) years to stabilize results. Any balance remaining after three years shall be released and included in the profit commission calculation.

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ARTICLE 7: LOSS SETTLEMENTS

7.1 Loss Participation

The Reinsurer shall participate in all losses covered under this Treaty in the proportion of **60%** (sixty percent) of each and every loss, subject to the terms, conditions, and exclusions of this Treaty.

7.2 Loss Definition

For the purposes of this Treaty, "Loss" shall include:

• All amounts paid or payable by the Company under the original policies

• Loss Adjustment Expenses (LAE) as defined in Article 7.8

• Legal costs and expenses incurred in the defense or settlement of claims

• Interest awarded on claims by courts or tribunals

7.3 Loss Advice

The Company shall advise the Reinsurer of all losses as follows:

a) Immediate Advice: All losses where the Company's estimated ultimate net loss (after all reinsurances) exceeds **GBP 250,000** or equivalent, to be advised within five (5) business days of the Company becoming aware of the loss.

b) Quarterly Reporting: All other losses to be reported in the quarterly bordereaux.

7.4 Loss Payment Terms

Loss accounts shall be rendered quarterly within thirty (30) days following the end of each calendar quarter. The Reinsurer shall settle its proportion of losses within thirty (30) days of receipt of the loss account, provided the account is properly documented and substantiated.

7.5 Large Loss Documentation

For losses where the Company's gross loss exceeds **GBP 500,000** or equivalent, the Company shall provide:

• Detailed loss file documentation

• Adjuster's reports

• Legal opinions (where applicable)

• Company's evaluation and reserve position

• Any other relevant documentation requested by the Reinsurer

7.6 Loss Settlement Authority

The Company shall have full authority to settle, adjust, defend, or compromise all claims without the prior consent of the Reinsurer, provided that:

• Settlements are made in good faith

• Settlements are within the Company's normal claims handling authority

• The Reinsurer is kept informed of material developments on large losses

7.7 Ex Gratia and Without Prejudice Payments

The Reinsurer shall not be liable for any ex gratia payments or payments made without admission of liability unless such payments:

• Are made to preserve the Company's market reputation

• Are commercially reasonable in the circumstances

• Do not exceed **GBP 50,000** per claim

• Have been notified to the Reinsurer in writing

7.8 Loss Adjustment Expenses

a) Definition: Loss Adjustment Expenses (LAE) shall include all expenses incurred in the investigation, adjustment, negotiation, and settlement of claims, including legal costs, expert fees, and adjuster fees.

b) Treatment: LAE shall be shared in the same proportion as losses (60% to the Reinsurer) and shall be **inside the limits** of the original policy.

c) Allocated vs. Unallocated:

• Allocated LAE (ALAE) specific to individual claims shall be shared proportionally

• Unallocated LAE (ULAE) shall be covered by the reinsurance commission and not separately recoverable

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ARTICLE 8: PORTFOLIO MANAGEMENT AND OVERSIGHT

8.1 Portfolio Management Fee

The Reinsurer shall be entitled to a portfolio management fee of **2%** (two percent) of gross reinsurance premium to cover costs of treaty administration, portfolio monitoring, and risk management oversight.

8.2 Information Rights

The Reinsurer shall have the right to:

• Inspect the Company's underwriting files and claims files on reasonable notice

• Receive detailed quarterly bordereaux within forty-five (45) days of quarter end

• Attend underwriting and claims review meetings

• Review and comment on underwriting guidelines and policy wordings

8.3 Bordereaux Requirements

The Company shall provide quarterly bordereaux containing:

Premium Bordereaux:

• Policy number and insured name

• Class of business and coverage type

• Policy period and territory

• Sum insured and policy limits

• Gross written premium

• Company's retention and reinsurance premium

• Broker and commission details

Loss Bordereaux:

• Claim number and policy reference

• Date of loss and date reported

• Description of loss

• Gross loss amount and Company's retention

• Reinsurer's share of loss

• Status of claim (paid, outstanding, IBNR)

• Loss reserves and development

8.4 Reporting Format

All bordereaux shall be provided in electronic format (Excel or CSV) using the agreed template provided by the Reinsurer within thirty (30) days of the inception of this Treaty.

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ARTICLE 9: SPECIAL ACCEPTANCES

9.1 Capacity Limitations

The Company shall not cede to this Treaty any individual risk where:

• The sum insured exceeds **GBP 10,000,000** (Ten Million Pounds Sterling) or equivalent

• The annual premium exceeds **GBP 500,000** (Five Hundred Thousand Pounds Sterling)

• The risk involves hazardous or sub-standard features as defined in the Company's underwriting guidelines

unless prior written approval is obtained from the Reinsurer.

9.2 Special Acceptance Procedure

For risks requiring special acceptance:

• The Company shall submit full underwriting details to the Reinsurer

• The Reinsurer shall respond within ten (10) business days

• Acceptance may be subject to amended terms, reduced participation, or additional premium

• Silence shall not constitute acceptance

9.3 Binding Authority

Subject to the limitations in Article 9.1, the Company shall have binding authority to cede business to this Treaty within the scope of business covered and in accordance with the Company's underwriting guidelines as provided to the Reinsurer.

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ARTICLE 10: REINSURANCE CLAUSES

10.1 Follow the Settlements

The Reinsurer agrees to follow the settlements of the Company, provided that:

• Settlements are made in good faith

• Settlements are within the terms and conditions of the original policies

• Settlements are within the scope of this Treaty

• The Company has complied with its obligations under this Treaty

10.2 Errors and Omissions

Inadvertent errors, omissions, or delays in reporting business or losses to the Reinsurer shall not relieve the Reinsurer of liability under this Treaty, provided that:

• The error or omission is corrected promptly upon discovery

• The Reinsurer is not prejudiced in its rights

• The Company acts in good faith at all times

10.3 Insolvency Clause

In the event of the insolvency of the Company, the reinsurance recoveries shall be payable directly to the Company or to its liquidator, receiver, or statutory successor on the basis of the liability of the Company under the policies reinsured, without diminution because of the insolvency of the Company, and such payment shall be made in accordance with the applicable insolvency laws.

10.4 Offset

The Reinsurer shall have the right to offset any balances due from the Company against any balances due to the Company under this Treaty or any other agreement between the parties.

10.5 Currency and Exchange

All transactions under this Treaty shall be settled in the currency of the original policy. Where conversion is necessary, the exchange rate shall be:

• For premiums: the rate at the end of the accounting quarter

• For losses: the rate at the date of payment by the Company

Exchange rate fluctuations shall be for the account of the Company.

10.6 Taxes

a) Premium Tax: All premium taxes, levies, and duties on the original insurance shall be borne by the Company and shall not be subject to reinsurance.

b) Reinsurance Tax: Any taxes, levies, or duties specifically imposed on reinsurance transactions shall be for the account of the party legally liable to pay such taxes, unless otherwise agreed in writing.

c) Withholding Tax: If any withholding tax is imposed on reinsurance premium or recoveries, the party making payment shall deduct such tax and provide appropriate tax certificates.

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ARTICLE 11: CLAIMS CONTROL AND COOPERATION

11.1 Claims Handling

The Company shall handle all claims in accordance with:

• Good claims management practices

• The Company's established claims procedures

• Applicable laws and regulations

• The terms and conditions of the original policies

11.2 Reinsurer's Rights

The Reinsurer shall have the right to:

• Be informed of material developments on significant claims

• Review claims files upon reasonable request

• Attend settlement negotiations for claims exceeding **GBP 500,000** gross

• Provide input on claims strategy (though not to unreasonably delay settlement)

11.3 Cooperation

Both parties agree to cooperate fully in:

• The investigation and adjustment of claims

• The defense of litigation

• The pursuit of salvage and subrogation

• The sharing of information relevant to claims

11.4 Salvage and Subrogation

All salvage and subrogation recoveries shall be applied as follows:

• First, to reimburse the parties for their expenses in pursuing the recovery

• Second, to reduce the loss in proportion to the interests of the parties

• Net recoveries shall be shared in the same proportion as the original loss

The Company shall pursue salvage and subrogation opportunities where commercially reasonable and shall keep the Reinsurer informed of material developments.

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ARTICLE 12: ARBITRATION

12.1 Arbitration Agreement